



Turning Enterprise Risk Into Competitive Advantage



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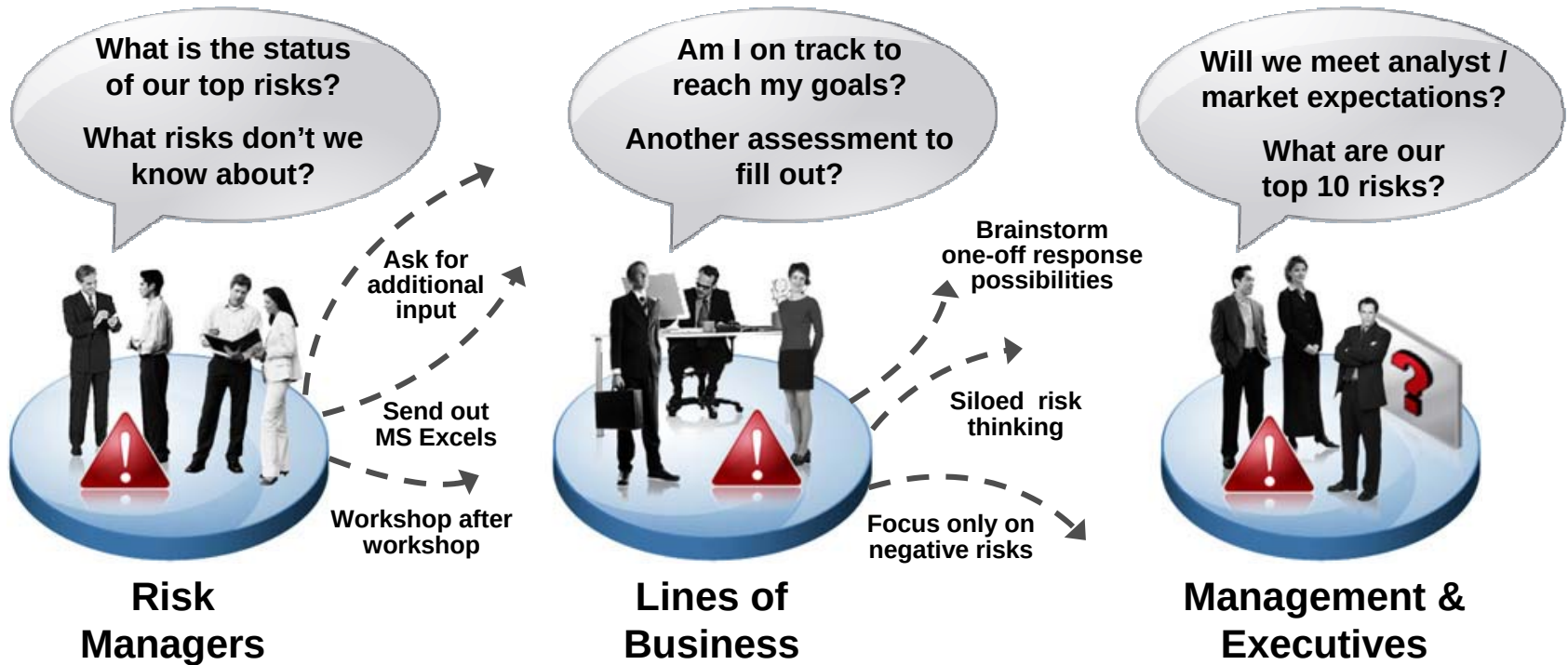


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- Opening remarks
- SAP's integrated approach to risk management
- Enterprise Risk Management software demonstration
- Using ERM software to enable implementation of an Enterprise Risk Management solution
- Questions

Risk Management Today

No transparency, suboptimal decision-making



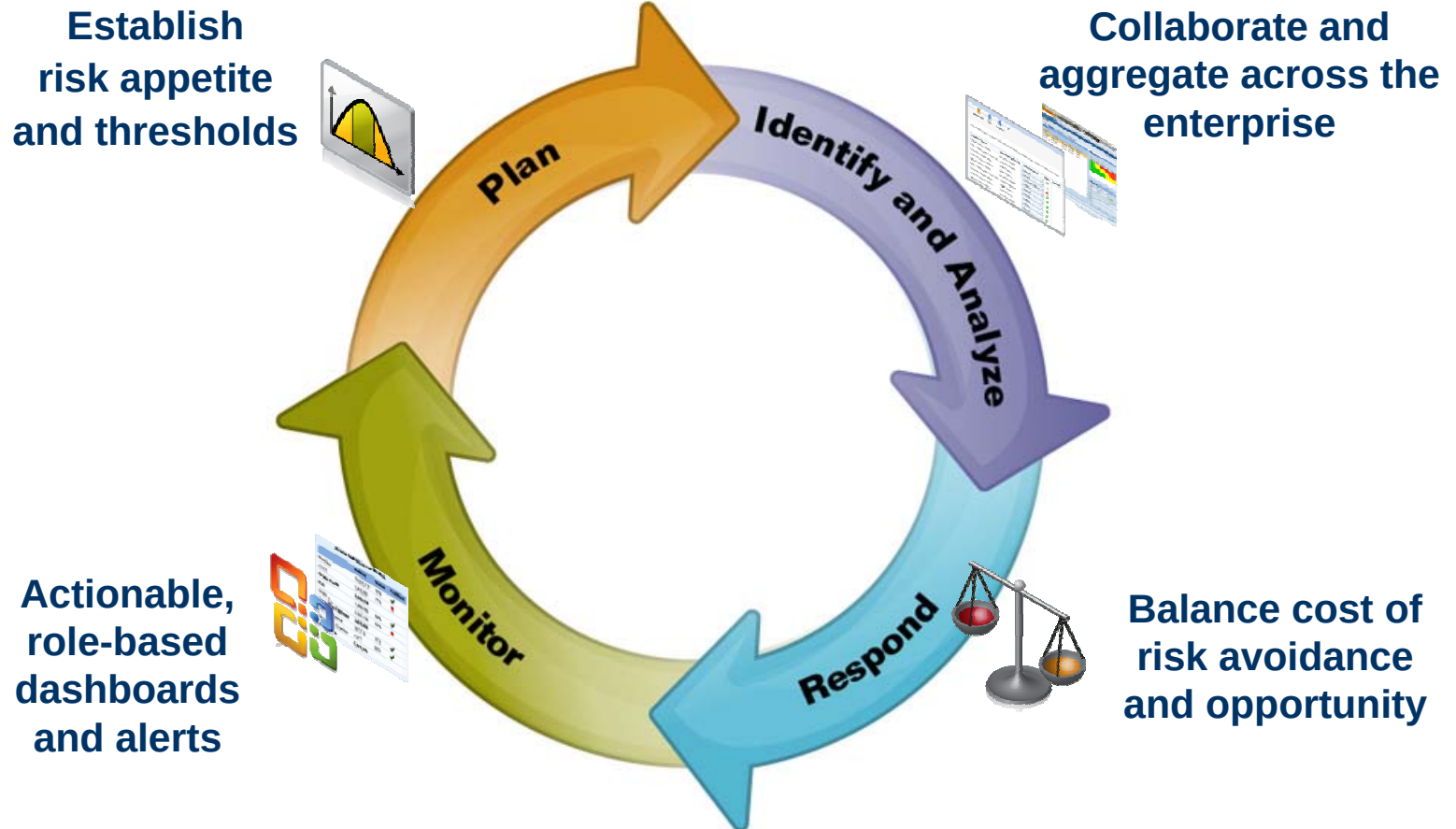
The Goal

Risk-adjusted management of enterprise performance



Risks Management Steps

Process automation for the virtuous cycle



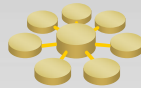
Drive Consistency

Agreement on top risks, thresholds, and appetite

1 Create Risk and Activity Catalogs



- What types of risks do we want to track?
- Proposed risks based on activity type
- Align risks to corporate goals
- Customizable, pre-delivered content



Risk Catalog → GRC Repository



2 Identify KRI Targets and Thresholds

KRI 1

Scrap Rates

5%

KRI 2

Supplier on-time delivery

<95%



Supply chain continuity risk

3 Document Risk Appetite

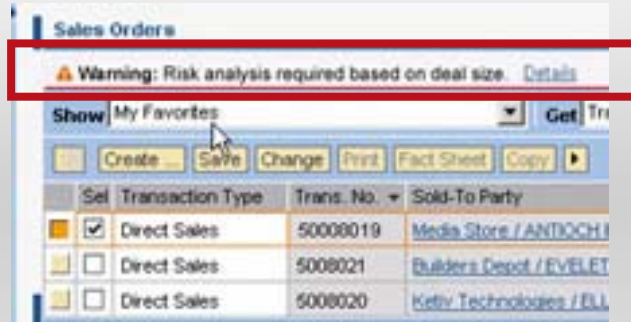


Avoid Surprises

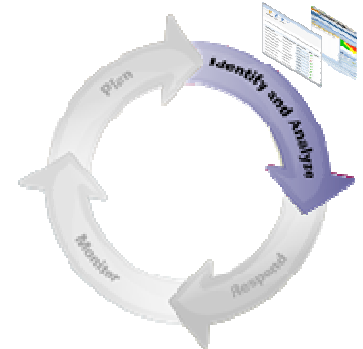
Identify and assess all key risks across the enterprise

1 Automatically Identify Risks

- Embedded into key business processes
- Workflow delivers assessments to experts

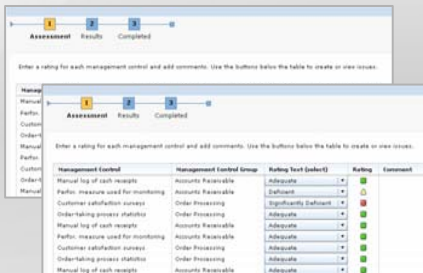


SAP CRM example



2 Collaborative Assessments for Manual Risk Activities

- Qualitative & quantitative point and scenario analyses
- Analyses done before and after response
- Workflow reminders for updates



3 Prioritization using Risk Heat Map

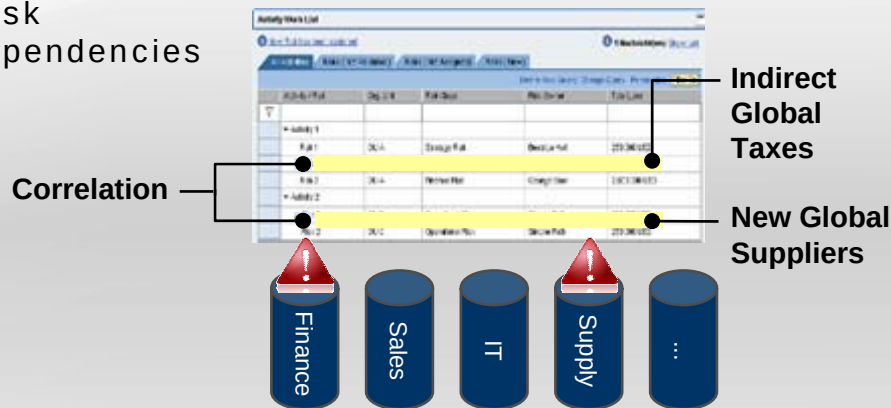
Risk Overview					
Probability	Insign.	Minor	Moder.	Major	Catas.
Occasionally	9	1	0	1	1
Sometimes	2	5	4	0	0
Hardly	5	2	5	5	0
Very rarely	2	3	5	0	3
Almost never	1	1	1	1	2

- Prioritization for response investment
- Identifying shifting in risk profile

Respond Intelligently

Create resolution strategies for critical risks

1 Spot Risk Interdependencies



2 Enabling Lines of Business to Effectively Mitigate Risks

Top Industry Risks

Mismatch of Demand with Supply
Employee health and safety
Non-compliance with emissions
Production disruptions
Supplier disruptions
Non-compliance with RoHS/WEEE
Non-compliance to Fin Regulations

Solution

xSOP
EH&S
xEM
EAM
SRM/xSA
CfP
GRC

SAP, SAP, SAP, SAP, SAP, TECHNIDATA, SAP

3 Best Practice Response Playbooks



Risk: Merger / Acquisition

Best Practice Response Playbook	
Responses	
▼ Best Practices	
Training field on new products	
Provide lock-ups for key staff	
▼ Industry Best Practices	
Hire specialized staff	
External Due Diligence opinions	
Close operations	

Proposed Responses

Lessons Learned

Propose Risk Response



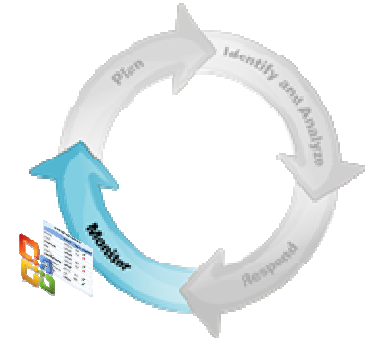
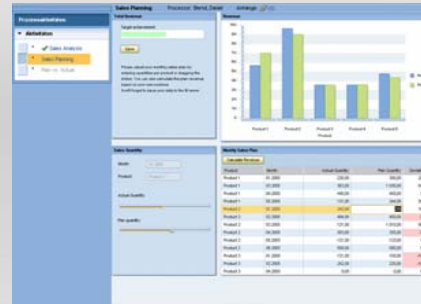
Loss Event Tracking

Self-learning Response Effectiveness

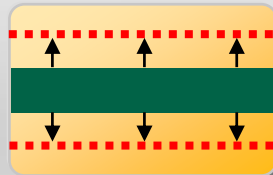
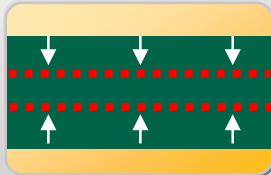
Stay Informed

Build proactive monitoring into existing business processes

1 Executive and Risk Manager Dashboards



2 Set Control Limits Based Upon Associated Risk



- Regulatory checklist approach has lead to over-controlling and under-controlling many processes
- Set controls based upon the level or risk associated with each business process

3 Capture Incidents and Losses



- Learn from previous experiences
- Incorporate into response playbook

SAP GRC Risk Management

Providing the framework for an integrated approach to ERM



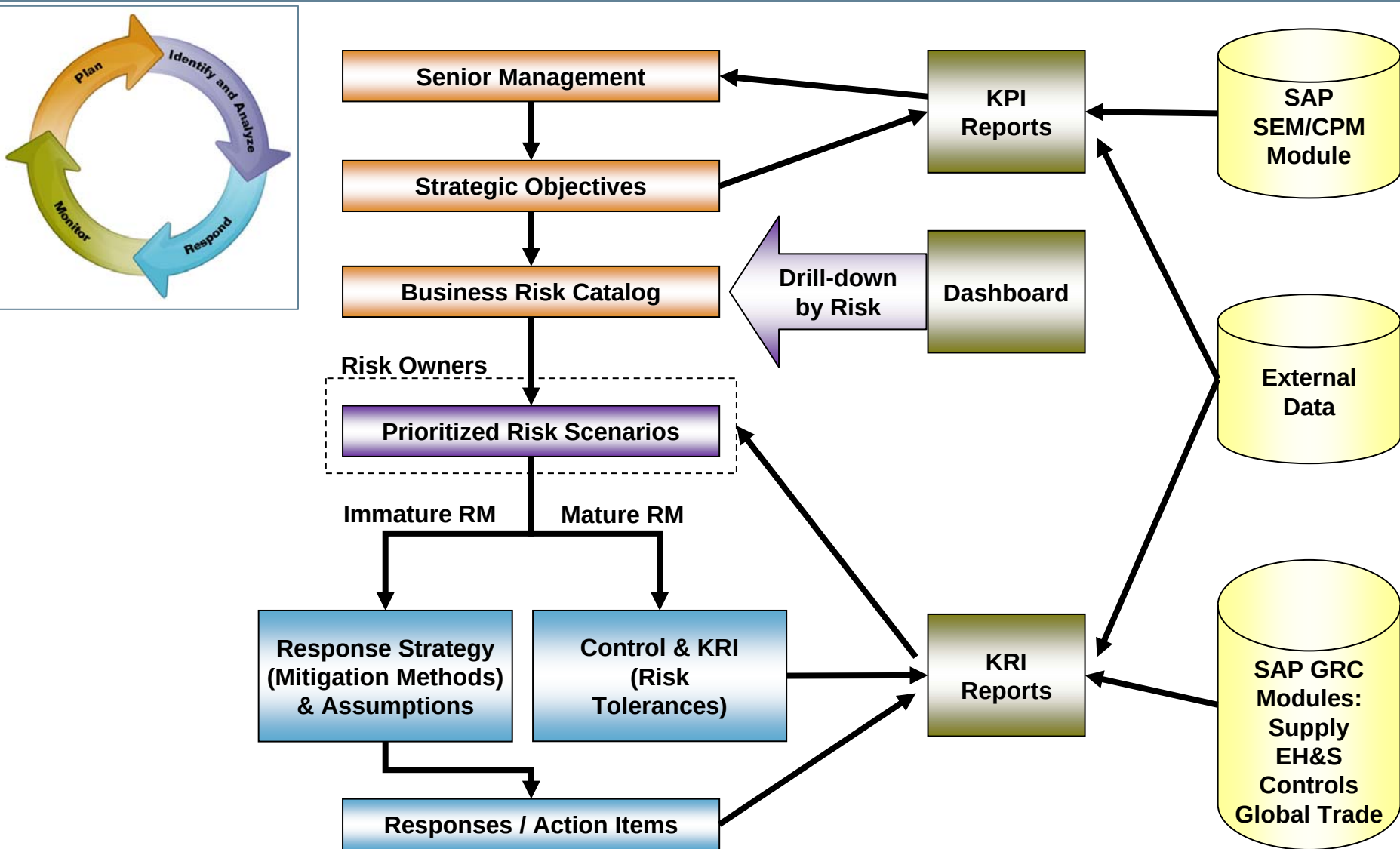
Almost 50 percent of Senior Executives and Directors of large companies lack a high degree of confidence that their risk management capabilities allow them to properly identify and manage all potentially significant business risks*. We work with clients to implement a practical approach to enterprise risk management that is integrated with their existing strategy and management structure.

This helps eliminate surprises, provides a clear enterprise-wide view of risks, and minimizes the cost of risk management, all contributing to long-term value creation.

* Protiviti 2007 U.S. Risk Barometer

Enterprise Risk Management

A Suggested Approach

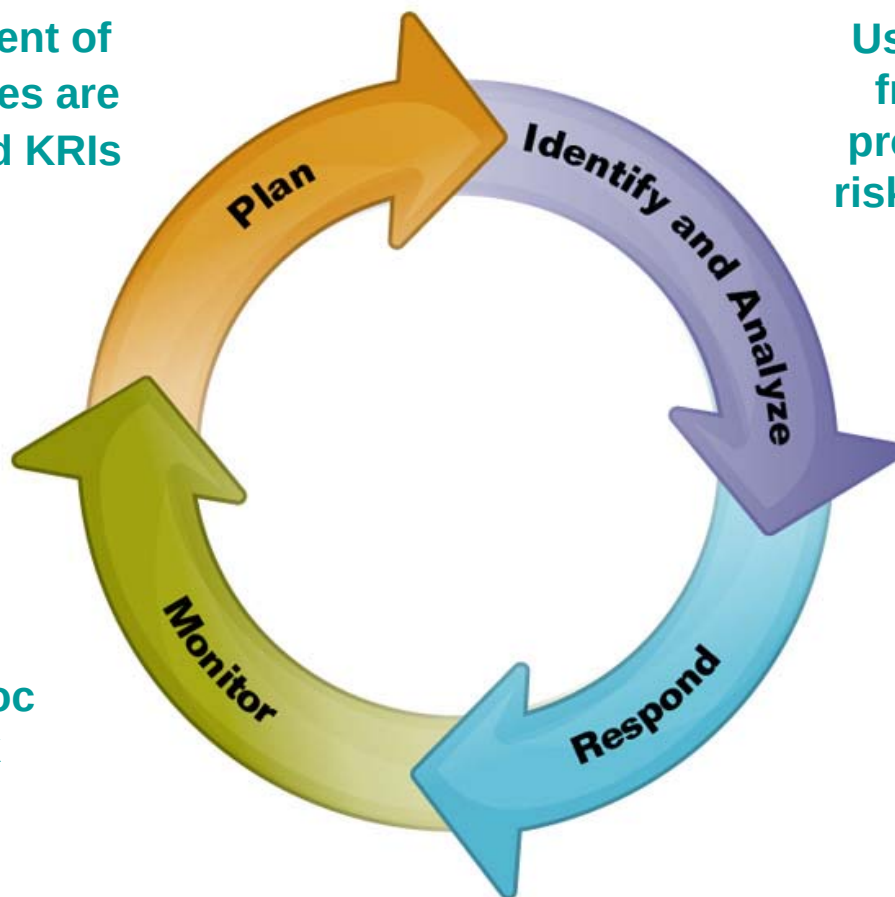


Enterprise Risk Management

Benefits of an ERM System

Ongoing refinement of strategic objectives are linked to KPIs and KRIs

Use KPIs and KRIs from one area to proactively identify risks in another area



Dashboards, alerts, and ad-hoc reports by risk owners

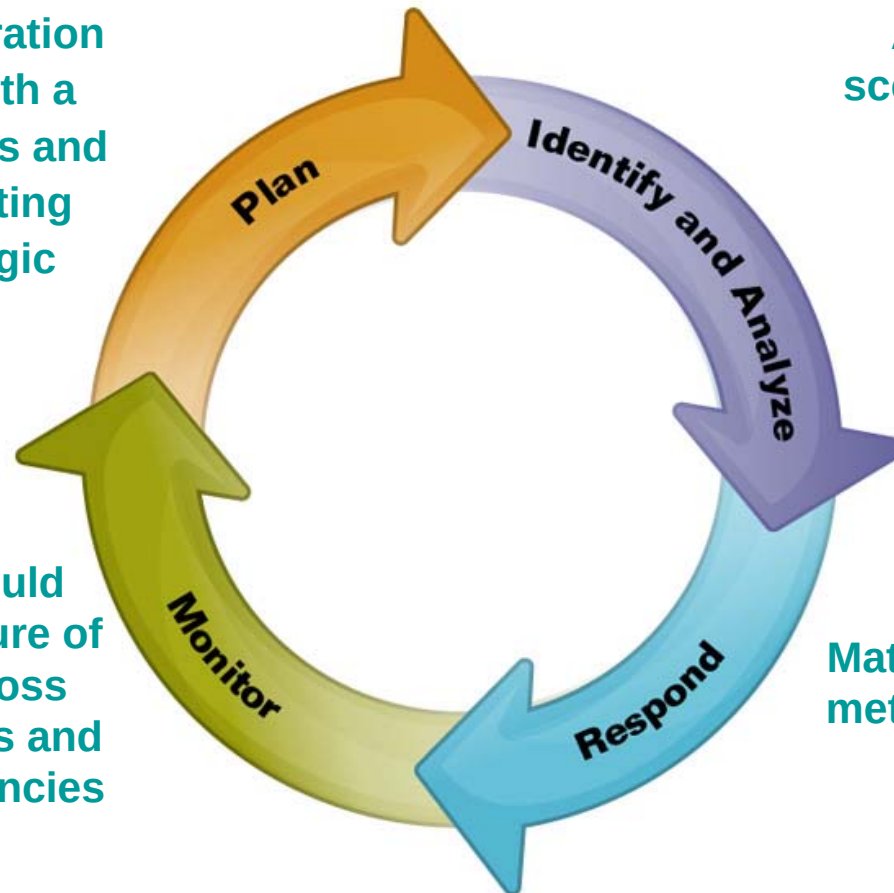
Create a learning community

Enterprise Risk Management

Key Take-Aways from our SAP ERM Pilot

System configuration must match both a hierarchy of risks and facilitate reporting against strategic objectives

Analyze what-if scenarios first, then correlate



Monitoring should focus on the nature of risks to cut across functional groups and the interdependencies of risks

Match costs of mitigation methods to costs without such methods

Q & A



Know Risk. Know Reward.™

For more information please visit us at:
www.protiviti.com